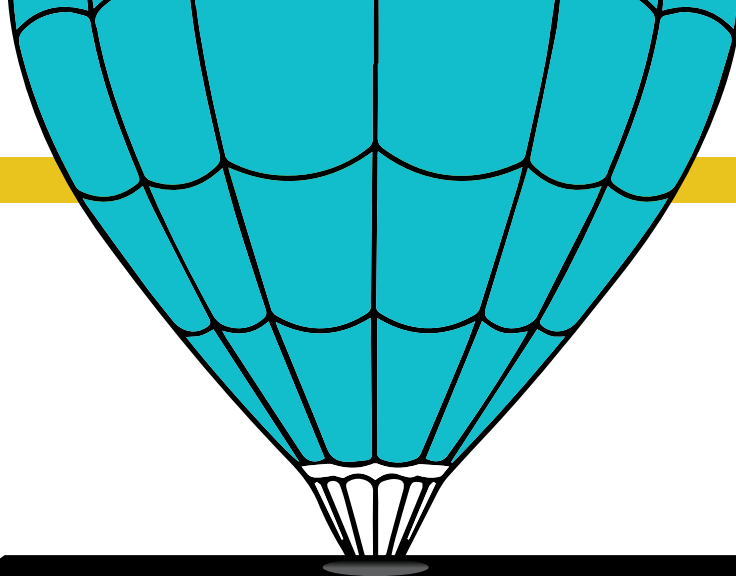




## PASSIVE VERSUS ACTIVE

• The average expense ratio of the Top 10 passive funds is 0.30% while for the Top 10 equity funds, it is 1.9%

| TOP ETFs                                      | 1-year returns (%) | Expense ratio (%) | AUM (₹ crore) |
|-----------------------------------------------|--------------------|-------------------|---------------|
| CPSE ETF                                      | 108.30             | 0.05              | 36,231.32     |
| Motilal Oswal S&P BSE Enhanced Value ETF      | 97.26              | 0.3               | 53.58         |
| Mirae Asset NYSE FANG+ ETF FoF - Regular Plan | 95.12              | 0.44              | 1,441.40      |

### TOP EQUITY FUNDS

|                                                                |       |      |          |
|----------------------------------------------------------------|-------|------|----------|
| Aditya Birla Sun Life PSU Equity Fund - Regular Plan           | 95.88 | 1.85 | 3,403.63 |
| SBI PSU Fund                                                   | 95.79 | 2.04 | 1,875.84 |
| Motilal Oswal S&P BSE Enhanced Value Index Fund - Regular Plan | 94.16 | 1.03 | 342.57   |

**NOTE** RETURNS AS OF MAY 2, 2024; AUM AS OF MARCH 31, 2024; EXPENSE RATIO AS OF APRIL 30, 2024 **SOURCE** VALUERESARCHONLINE

## BREAKING IT DOWN

• Passive investing AUM has crossed ₹9 lakh crore; of that, 23% comes from index funds and 74% from ETFs • Gold ETF constitutes 4% of total ETF AUM of ₹6.95 lakh crore

| SCHEME                           | No. of schemes | No. of folios | Net AUM (₹ crore) |
|----------------------------------|----------------|---------------|-------------------|
| Index Funds                      | 208            | 7,576,546     | 2,13,657.47       |
| Gold ETF                         | 17             | 5,060,791     | 31,223.69         |
| Other ETFs                       | 189            | 13,767,925    | 6,64,000.09       |
| Fund of funds investing overseas | 55             | 1,557,288     | 25,713.37         |
| Total                            | 469            | 27,962,550    | 9,34,594.62       |

**NOTE** DATA AS ON MARCH 31, 2024; **SOURCE** AMFI

ered 10% returns, the ETF return should also be similar. There is a metric called 'Tracking Error', which measures how close the ETF return is to that of the index. "Tracking error indicates how closely the fund is replicating the underlying benchmark. The smaller the tracking error, the better the investment outcome," says Haria.

Next, check the expense ratio. The lower it is, the better for the investor. Then check liquidity. Market cap-based ETFs like Nifty, Midcap, etc. are more popular and have higher volumes. "Liquidity for ETFs is like water for fish; it's critical that when investors attempt to buy an ETF on the exchange, there should be sellers, and vice versa. There should be sufficient trading volume in a particular ETF to ensure that the transaction happens at prices that are close to the price displayed on the exchanges," explains Arun Sundaresan, Head-ETF at Nippon Life India Asset Management. "Liquidity, which is essentially good trading volume, is very important in the context of ETFs and would have a direct bearing on returns," he adds.

Finally, while buying ETFs and index funds, consider the overall cost of ownership. In addition to AMC fees, investors also need to pay demat charges, broker commissions, and impact fees. Thus, ETF investors must be mindful of the total cost of ownership, while index funds have a bundled cost of ownership, meaning investors only pay the 'total expense ratio.'

Given the recent boom in the Indian market, these costs may prove negligible when weighed against the returns from passive investing. So, if you are upbeat on the markets, passive funds can give your portfolio a big boost. **BT**

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